NovaCorp is spending $42M/year on people costs.

Two of the three biggest drivers have nothing to do with pay.

Where NovaCorp's People Cost Is Really Coming From —

and What To Do About It in the Next 90 Days

Accenture x SUBAA People Analytics Challenge | NovaCorp CHRO Briefing | August 2026

THE BUSINESS PROBLEM

A $42M estimate, decomposed into three components

- NovaCorp's CHRO has engaged us to explain what is driving an estimated $42M annual people cost, and to advise where to focus first.
- Finance decomposed the estimate into three components. Our task is not to validate the $42M — it is to identify what's driving it and what's tractable to fix.

$22-25M	$12-15M	$4-6M
Regrettable attrition	Disengagement productivity loss	Hiring inefficiency
Replacement cost of high-value voluntary departures	Productivity reduction for persistently disengaged staff	Agency premium + poor-match early attrition

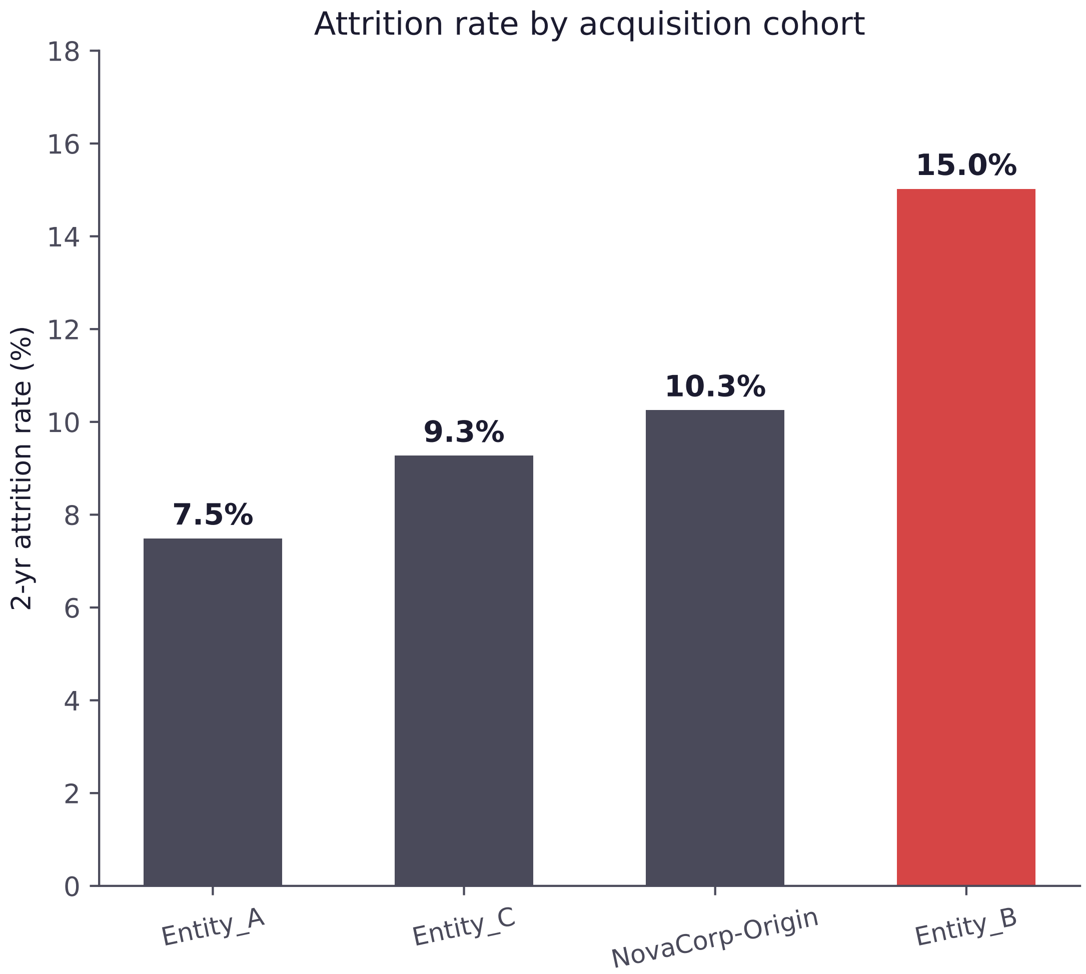
OUR APPROACH

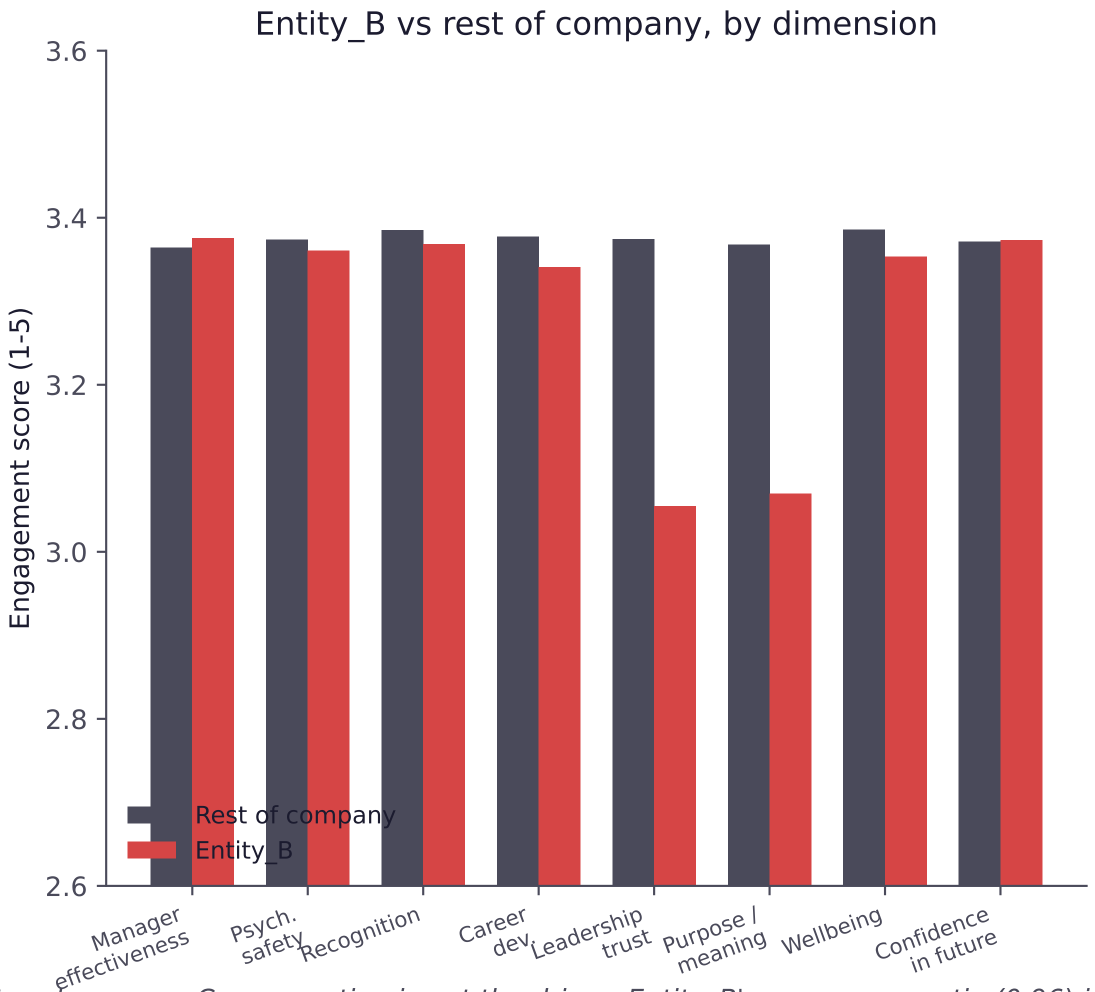
Four datasets, triangulated — not taken at face value

- employees.csv (13,403), attrition_log.csv (1,400), engagement.csv (56,000 rows / 5 waves), performance.csv (35,000 rows) — joined on employee_id, Jan 2024-Dec 2025 window.
- Key data decisions we made and documented:
- Population choice varies by question: active-only for org snapshots, full roster (active+departed) for attrition-risk denominators.
- stated_exit_reason, regrettable_flag are retrospective HR judgements — used as one signal, always cross-checked against engagement/performance trajectories.
- Survey non-response rows are kept, not dropped — non-response turns out to be a signal in its own right (see Finding 3).
- We tested and ruled out a 'bad manager' narrative — team-level attrition shows ~zero correlation with team engagement scores.

FINDING 1 OF 3

Entity_B's high attrition is a leadership-trust problem, not a pay problem





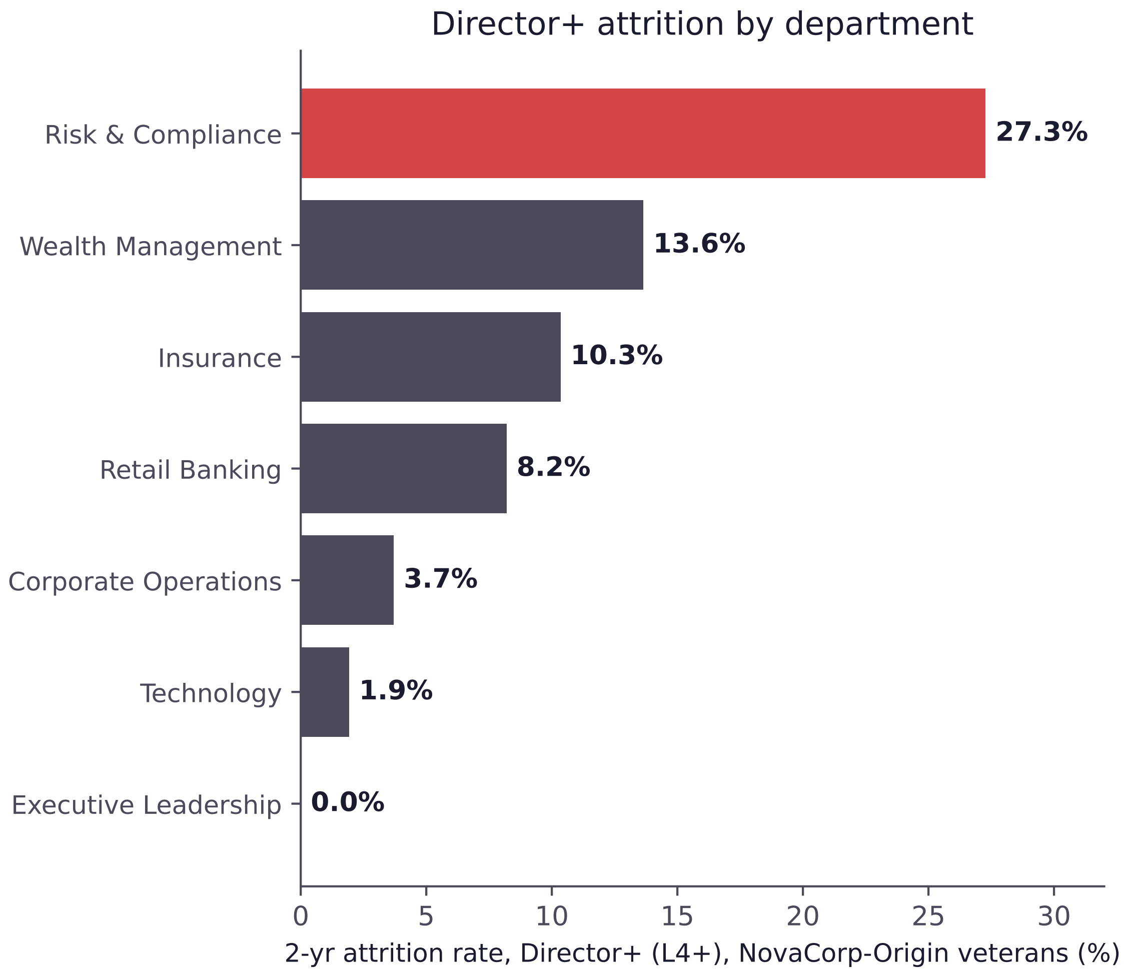
Every other dimension is in line with the company — the gap is specifically leadership trust and purpose. Compensation is not the driver: Entity_B's avg compa-ratio (0.96) is above

A specific, targetable cohort with a clear financial case

- Corroborating signal: Entity_B's survey response rate is 62.6%, vs 83.6% for the rest of the company — Entity_B staff are checking out of the HR process itself.
- Among Entity_B's high-value staff (L3+ / HiPo): 15.5% attrition and a 5.1% regrettable-flag rate — both the highest of any acquisition cohort.

48	$163.8K	~$5.6M/yr
Entity_B high-value voluntary departures (2yr)	Average salary of departed staff	Replacement cost exposure if unaddressed

Risk & Compliance is losing its most senior veterans to the external market



Pay & engagement: departed vs stayed

	Departed (n=12)	**Stayed (n=32)**
Compa-ratio (1.0 = midpoint)	0.97	0.97
Engagement score (1-5 scale)	3.33	3.13
Avg tenure	24 years	19 years

Departed staff were paid the same and engaged at least as well as those who stayed — this rules out pay and engagement as the driver.

A small, identifiable, high-value flight-risk cohort

- 8 of 12 departures cite "Career advancement" or "Better opportunity" as exit reason — consistent with the Annual Report's own account that FAR (Financial Accountability Regime) has intensified external competition for senior regulatory talent.
- These are long-tenured veterans: average tenure of ~24 years. Each departure carries institutional and regulatory knowledge that is not captured in the salary cost alone.

27.3%

Attrition rate — 2x the next-highest department/level cohort

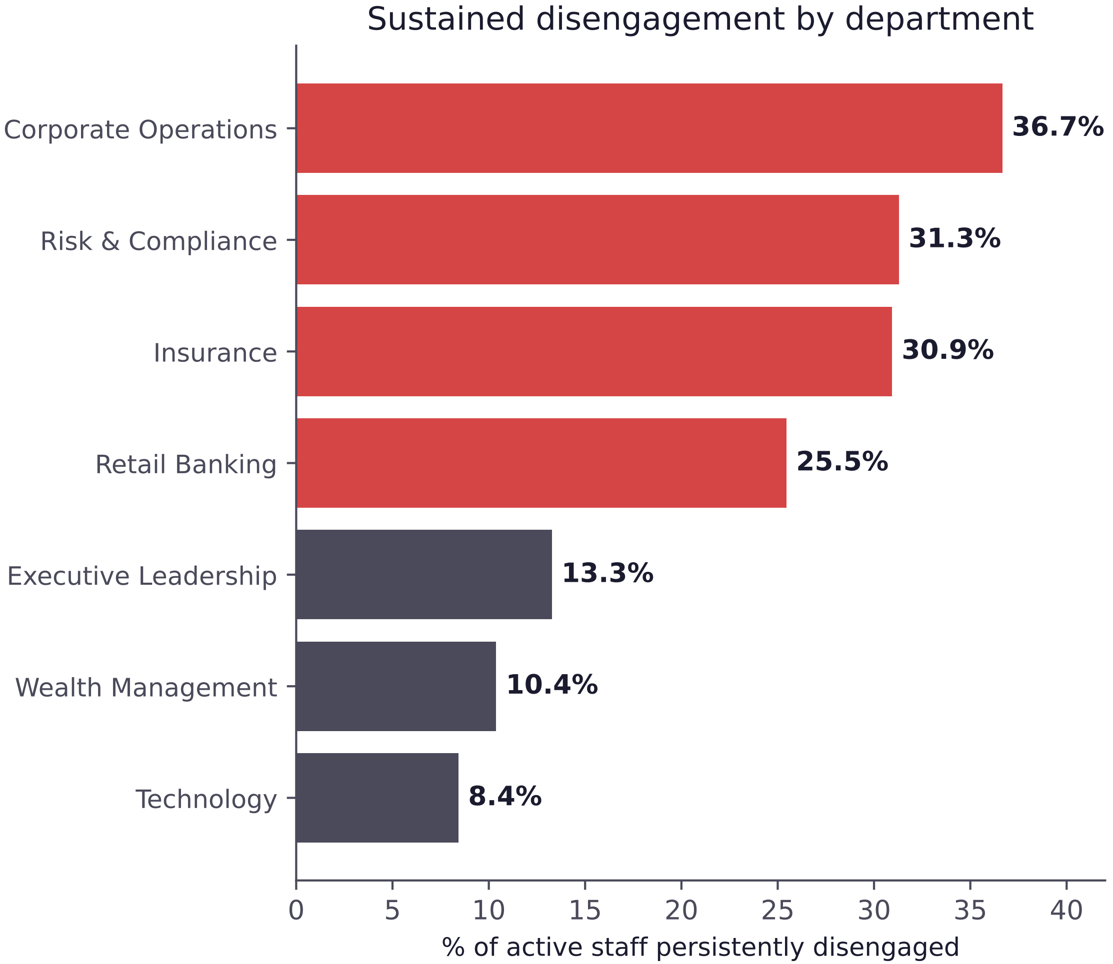
12 of 44

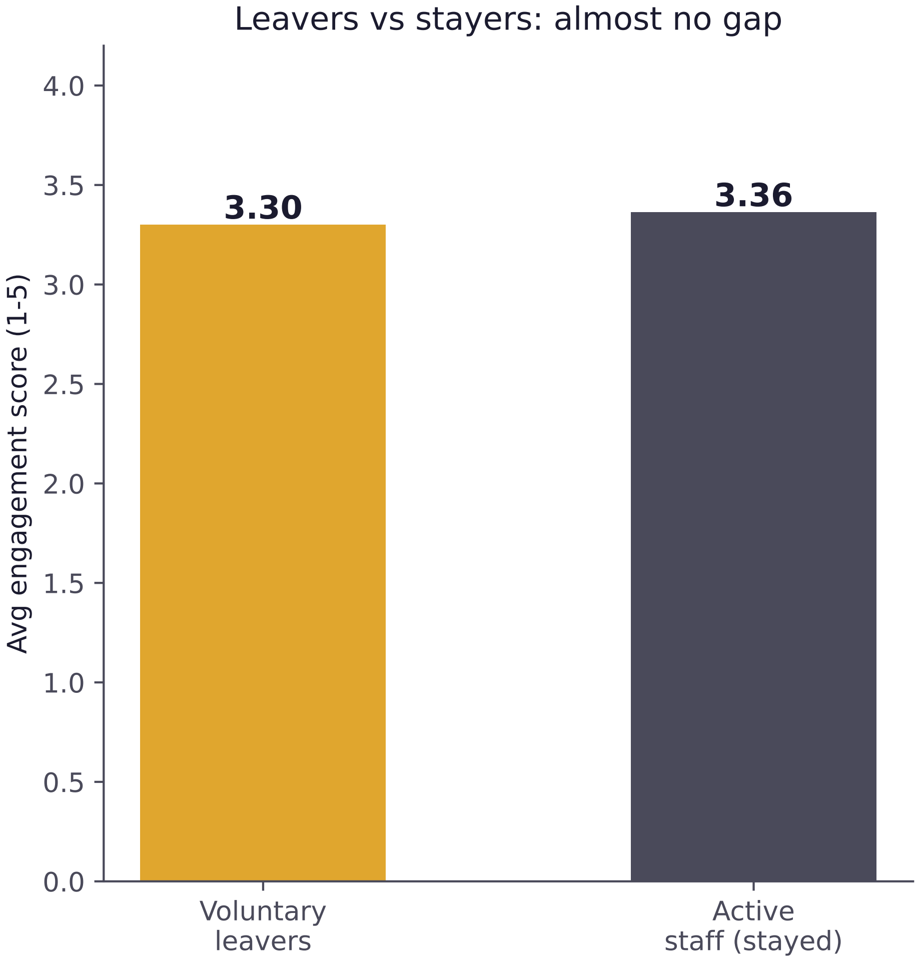
Veteran Directors lost (2-year window)

~$2.6M/yr

Replacement cost, excluding knowledge-loss risk

22.5% of active staff are disengaged — and they aren't the ones leaving

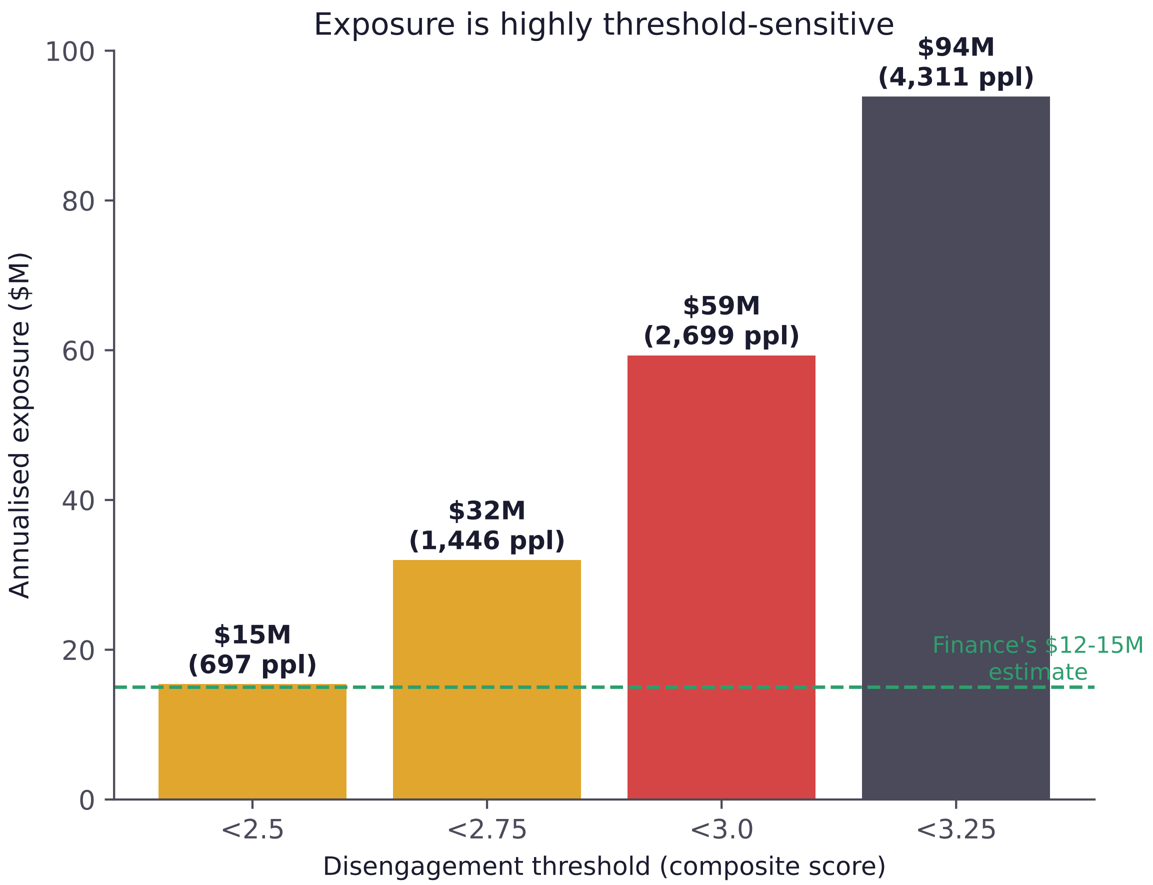




Attrition data alone would completely miss this problem: people who are disengaged mostly stay, not leave.

FINDING 3 OF 3 — SO WHAT

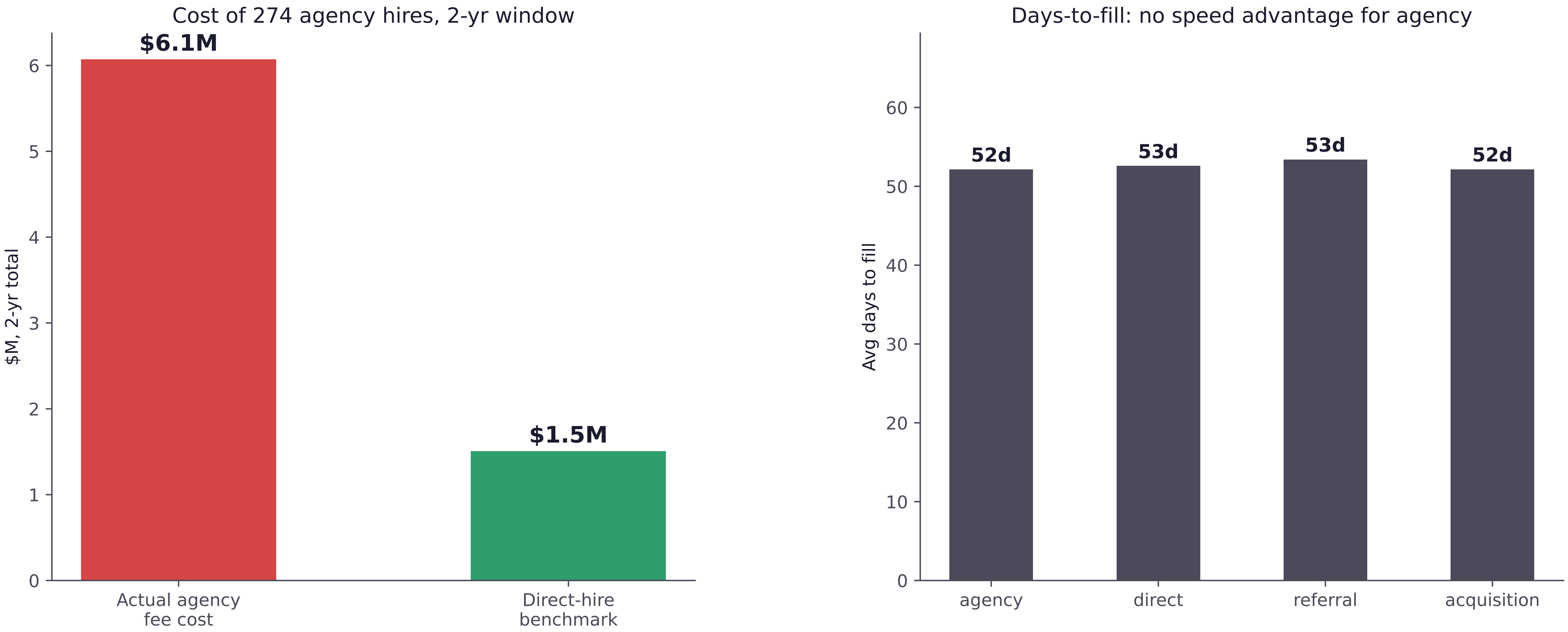
Sizing the exposure honestly: it depends where you draw the line



- Finance's $12-15M implies a severe-only population (~6% of staff, score <2.5) — we find nearly 4x that many showing sustained disengagement.
- Actionable target: bottom decile (1,156 people, ~$25M/yr exposure).
- Limitation: goal-achievement scores do not differ significantly between disengaged and engaged staff (p=0.16). This is a population-size estimate under Finance's own assumption — not a proven output deficit.

QUICK WIN

Agency hiring costs more, with no speed benefit and slightly worse retention



Excess agency cost is about $2.3M/yr in fees, plus about $2.3M/yr in poor-match early-exit backfill, about $4.6M/yr total — closely matches Finance's own $4-6M estimate.

The recomputed $42M: two buckets need re-calibrating

Component	Finance estimate	Data-derived (annualised)	Read
Regrettable attrition (HR-flagged, strict)	$22-25M	**$14.3M**	Likely under-flagged by HR
Regrettable attrition (all high-value voluntary)	—	**$30.6M**	Broader lens exceeds estimate
Disengagement loss (severe, <2.5 score)	$12-15M	**$15.4M**	Matches Finance closely
Disengagement loss (sustained, <3.0 score)	—	**up to $59.3M**	Long tail not yet budgeted
Hiring inefficiency	$4-6M	**$4.6M**	Well-calibrated already

Key takeaway: HR's own retrospective 'regrettable' label likely undercounts true cost, while disengagement carries a much larger long tail than currently priced in.

OUR RECOMMENDATION

A 90-day, sequenced plan — not a blanket program

NOW (0-30 days) — **$0 incremental cost**

Deploy a disengagement early-warning trigger

Flag anyone completing <60% of surveys for a manager check-in within 2 weeks.
This signal predicts voluntary exit 3x better than the score itself (21.2% vs 6.8%).
Pilot in Corp Ops, Risk & Compliance, Insurance first.

THIS QUARTER — **Protects ~$5.6M/yr**

Entity_B Leadership Reconnection Programme

ELT roadshow + listening tour for Entity_B (prioritise 354 high-value staff).
Targets leadership trust (3.05→3.38) and purpose (3.06→3.38), not pay.
Timed to the Q2 FY26 integration completion already committed to.

THIS QUARTER (parallel) — **Protects ~$2.6M/yr**

Critical Regulatory Talent Retention track

External market compensation benchmarking for R&C Director+ (44 people).
Accelerated recognition + succession/knowledge-transfer safety net.
Addresses external FAR-driven poaching, not an internal engagement gap.

EXPECTED IMPACT

What happens if NovaCorp acts

~$10.5M/yr

Protected replacement cost:
Entity_B + R&C Director+ cohorts
normalised to company-average attrition

~$25M/yr

Disengagement exposure addressed
by targeting the bottom-decile
cohort (1,156 people) first

~$2.3M/yr

Hiring-fee savings from shifting
discretionary agency hires to
direct/referral pipelines

- Measurement: Entity_B leadership_trust & purpose_meaning scores, and Entity_B voluntary attrition rate, tracked at the next 2 survey waves.
- R&C Director+ retention rate and time-to-fill for critical regulatory roles.
- Bottom-decile disengagement headcount, tracked wave-over-wave.
- Agency vs direct/referral hire mix, tracked quarterly.

WHAT WE CAN'T CONCLUDE

Limitations, stated explicitly

- Dataset-derived voluntary attrition (~5%/yr) is materially lower than the Annual Report's headline figure (10.4% FY2025). We treat the CSV datasets as ground truth per the Case Brief; the Annual Report is used only for qualitative context.
- stated_exit_reason, regrettable_flag and performance_band_at_exit are retrospective HR judgements, not verified fact — used as one signal, cross-checked against engagement/performance trajectories, never taken alone.
- Disengagement's link to measured output (goal_achievement_score) is not statistically significant in this data (p=0.16) — our $ estimate sizes the population under Finance's flat-rate assumption; it does not prove a current productivity deficit.
- We tested and ruled out a manager-driven attrition narrative (correlation ≈ 0 between team engagement and team attrition) — deliberately not pursued further.
- 2025-H2 performance reviews are absent from the data; no claims made about the most recent half-year of performance.

The $42M is not one problem. It's three, and we know where they live.

Entity_B: leadership trust & purpose, not pay — ~$5.6M/yr at risk

Risk & Compliance Director+: external market poaching — ~$2.6M/yr at risk

Stay-but-disengaged: 22.5% of active staff, largely invisible to exit data — up to $59M/yr exposure

Quick win: redirect agency hiring — ~$2.3M/yr saved, funds the rest

Thank you — questions welcome.

APPENDIX A

Data sources & population decisions

- employees.csv (13,403 rows, active+departed), attrition_log.csv (1,400), engagement.csv (55,971 rows, 5 waves), performance.csv (34,979 rows). Joined on employee_id. Observation window: 1 Jan 2024 - 31 Dec 2025.
- Org snapshot analysis -> active-only population (n=12,003).
- Attrition-rate analysis -> full roster, active+departed (n=13,403), since departed staff were part of the workforce-at-risk before leaving.
- Hiring-channel analysis -> hires within the observation window only, excluding 'acquisition' hire_source (M&A transfers, not discretionary recruiting decisions).
- Engagement-trend analysis -> employees with >=2 completed survey waves.
- response_flag=False rows retained, not dropped — treated as a signal (see Finding 3).

APPENDIX B

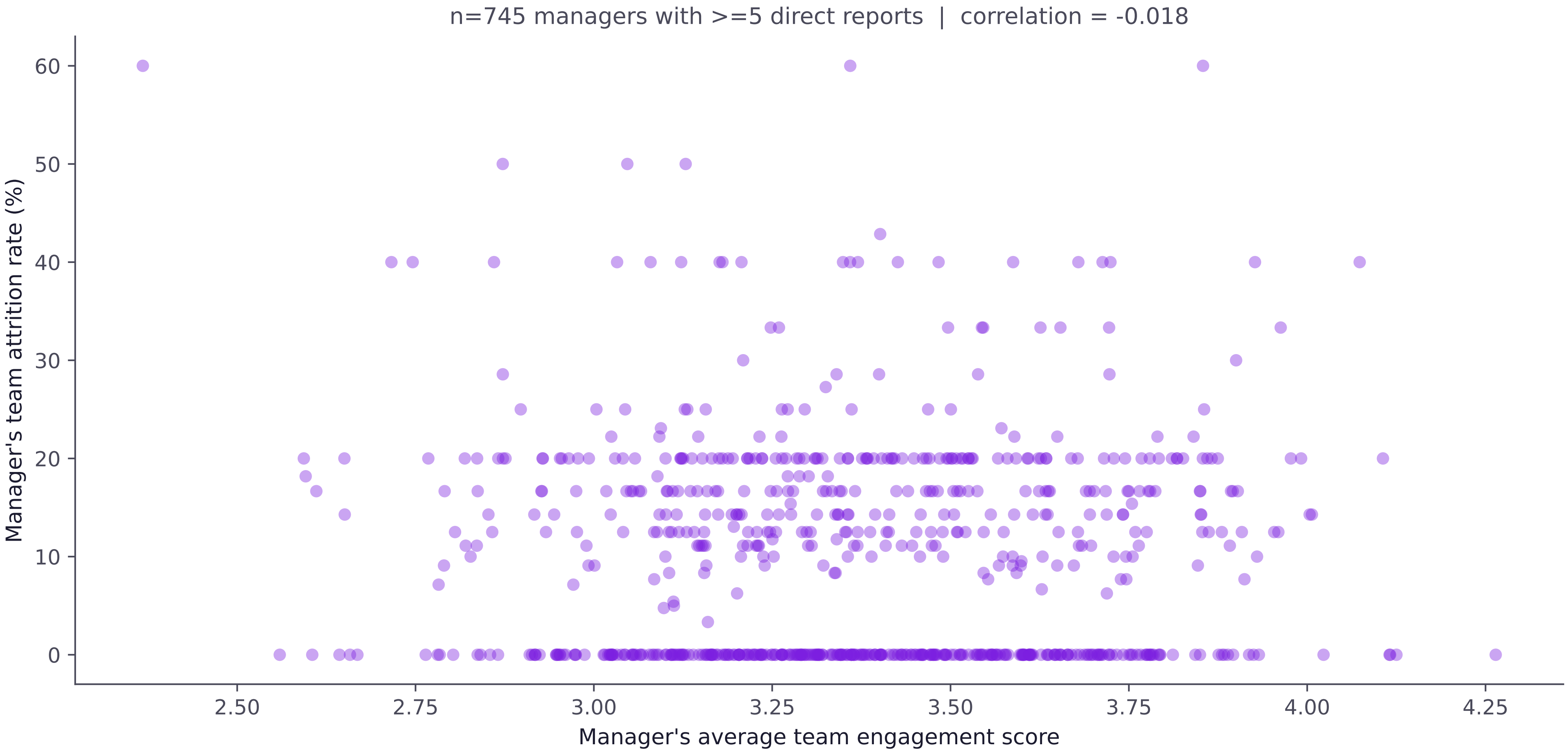
Equity & ethics checks performed — no red flags found

By gender

Gender	Headcount	Avg compa	Attrition
Female	6,385	0.95	10.6%
Male	6,172	0.95	10.2%
Non-binary	489	0.94	11.0%
Prefer not to say	357	0.95	10.4%

- No material gender pay gap: compa-ratio flat across gender within the same role level (e.g. L3: F 0.947 vs M 0.946).
- No material gender attrition gap.
- Female representation at L5+ in this dataset (59.2%) differs from the Annual Report figure (34.1%) — a documented data/report discrepancy, not evidence of bias in either direction.

We tested a 'bad manager' narrative — the data does not support it



45.1% of managers with 5+ reports had zero attrition in the window; their average team engagement (3.37) is statistically indistinguishable from the highest-attrition decile (3.36).

APPENDIX D

Attrition rate by department and acquisition cohort

Department	Entity_A	Entity_B	Entity_C	NovaCorp-Origin
Corporate Operations	8.2%	**16.6%**	12.6%	11.2%
Executive Leadership	0.0%	2.8%	**13.0%**	10.3%
Insurance	8.4%	**16.0%**	8.5%	9.7%
Retail Banking	7.2%	**13.6%**	6.4%	9.3%
Risk & Compliance	8.5%	**16.6%**	11.0%	11.6%
Technology	7.2%	**15.6%**	10.1%	9.9%
Wealth Management	6.3%	**14.1%**	8.4%	10.9%

Entity_B x Risk & Compliance and Entity_B x Corporate Operations are the two highest cells in the matrix, both above 16%.